

Portfolio Performance and Equity Movement — Management Brief

Business objective

This brief reviews portfolio performance across assets, regions, sectors, and income-statement lines. It identifies the material Annual Forecast versus Annual Budget gaps and explains what is moving equity between 1 January 2019 and 31 December 2019. Figures are case-study data from the dashboard and the source workbook.

Dashboard coverage

- Portfolio-level return cards, gauge, and asset bar, with drill-through to each asset's income statement.
- Income statement comparison across YTD Actual, YTD Budget, Annual Forecast, and Annual Budget.
- Regional equity movement on the December 2019 waterfall, from opening equity to the total by category.
- Variance visibility through green and red conditional formatting on the variance columns.

Key findings

Finding 1 — Forecast return is 7.30 points below budget, led by Other gains

Observation. With no region, country, or sector selected, forecast return is 6.42% and budget return is 13.72% (variance **-7.30%**). Net income is YTD Actual \$73.69M versus YTD Budget \$217.29M (**-66.09%**), and Annual Forecast \$130.55M versus Annual Budget \$275.21M (**-52.56%**). The largest annual miss is Other Gain / Loss: Annual Forecast \$27.19M versus Annual Budget \$187.52M (**-85.50%**).

Business implication. Operating lines do not explain the shortfall. The return gap is an Other gains gap, and it changes the full-year result versus budget.

Dashboard evidence. Portfolio performance page. Performance Return cards, return gauge, and Income Statement (USD Million). Region, Country, and Sector slicers with no selection.

Finding 2 — Asset E, Asset C, and Asset D are behind on both YTD and the annual forecast

Observation. Asset E (Australia, Industrial) forecast return is 4.60% versus budget 22.89% (**-18.29%**). Its net income is YTD \$20.39M versus \$188.29M (**-89.17%**) and Annual Forecast \$43.12M versus Annual Budget \$213.43M (**-79.80%**). Its Other gains annual variance is **-85.50%**, the same rate as the portfolio. Asset C (USA, Office) net income is YTD \$2.12M versus \$5.94M (**-64.33%**) and Annual Forecast \$10.73M versus \$11.82M (**-9.19%**); forecast return 4.14%. Asset D (UK, Hotel) is YTD \$2.16M versus \$3.07M (**-29.85%**) and Annual Forecast \$6.09M versus \$6.15M (**-0.96%**); forecast return 7.63% versus budget 8.04%.

Business implication. Asset E is the portfolio miss. Asset C and Asset D are also negative in both views, at a much smaller dollar size. North America as a whole is close to budget (6.54% versus 6.60%).

Dashboard evidence. Portfolio performance with Australia and Industrial selected; Income statement details for Asset E, Asset C, and Asset D. Forecast return by asset, no slicer selected: F 15.29%, A 8.38%, D 7.63%, B 7.22%, E 4.60%, C 4.14%.

Finding 3 — December equity rises from \$13.00bn to \$15.54bn

Observation. With December 2019 selected and no region selected, opening equity is \$13.00bn and the total is \$15.54bn. The largest increases are Capex/Leasing **+\$1.69bn** and Acquisitions **+\$1.35bn**. The largest decrease is Dispositions **-\$1.01bn**. North America ends at \$11.50bn from a \$10.00bn opening, Europe at \$2.56bn from \$2.00bn, and Asia Pac at \$1.47bn from \$1.00bn. Capex/Leasing is the largest increase in each region (**+\$1.00bn**, **+\$0.38bn**, and **+\$0.31bn**).

Business implication. Year-end equity growth is capex and acquisitions, partly offset by dispositions. Debt mark-to-market is **-\$0.07bn** and is not the driver.

Dashboard evidence. Equity movements page, Equity Bridge waterfall. Scenario set to December 2019 and no region selected; then the same page with North America, Europe, and Asia Pac selected.

Recommendations, Alerts, and Data Notes

Recommended actions

Priority	Recommended action	Owner	Expected outcome
High	Explain Asset E Other gains: Annual Forecast \$27.19M versus Annual Budget \$187.52M (–85.50%).	Asia Pac industrial asset lead	A confirmed cause for the portfolio return gap.
High	Review Asset E, Asset C, and Asset D. These three assets are negative on both YTD and annual net income.	Regional asset leads	A short watchlist with the dollar gap for each asset.
Medium	Monitor the December 2019 equity waterfall by region. Drivers are Capex/Leasing +\$1.69bn, Acquisitions +\$1.35bn, and Dispositions –\$1.01bn.	Portfolio management	Equity movement stated from the \$13.00bn opening, with December 2019 selected.
Medium	Confirm the alert thresholds in the table below before they are used in management reporting.	Finance	Agreed red, amber, watchlist, and equity triggers.
Ongoing	Refresh the dashboard monthly and tie net income, returns, and the December equity bridge back to the source workbook.	Finance with BI	The brief stays aligned to the latest refresh.

Proposed alert rules

Thresholds below are proposed. Finance should confirm them before they are treated as management limits.

Alert	Trigger condition	Recommended response
Red variance	Annual variance worse than –10% and the dollar gap worse than –\$5M.	Asset lead explains the line before the next management review.
Amber variance	Annual variance from –5% to –10%, or a dollar gap from –\$1M to –\$5M.	Include the line in the monthly variance pack.
Asset watchlist	YTD variance and annual variance both negative on net income. Current names: Asset E, Asset C, and Asset D.	Keep the asset on the watchlist until either view turns favorable.
Equity movement	Read December 2019 only. Flag any category above \$100M in absolute value, and any decrease above \$50M.	Portfolio management comments on that category by region.

Data and calculation notes

- The dashboard uses case-study data provided in the source workbook.
- YTD Actual, YTD Budget, Annual Forecast, and Annual Budget are separate views. The income statement shows variance as a percentage of budget.
- A positive variance is shown in green. A negative variance is shown in red.
- The equity waterfall explains movement from opening equity to the total by category. December 2019 is the year-end view: opening \$13.00bn and total \$15.54bn. With no scenario selected, January, June, and December openings are added together and the chart shows opening \$39.00bn. All findings should be validated against the latest refreshed dashboard before a decision is made.